and Dollar 2000). This certainly seemed a very reasonable conclusion – a necessary condition for aid to help growth is obviously that aid receipts should not be spirited away to Swiss bank accounts. Unfortunately, however, it doesn't seem to be a sufficient condition for aid to help growth, as follow-up studies suggest the finding is not robust (Easterly, Levine, and Roodman 2004). It would appear that other levers are needed in addition to reasonable governance for aid to be effective.

A recent study (Clemens, Radelet and Bhavnani 2004) takes another crack at parsing the data, working from the assumption that not all aid is alike in its impact on growth. Again, the rationale is plausible. Why, for instance, should we expect humanitarian aid to result in growth, or why should we expect aid devoted to education (children are a long-term project if ever there was one) to produce growth in the short run? The study indeed shows that aid likely to have a short-term economic impact (for instance, aid used to build roads or support agriculture directly) is positively correlated with short-term growth. Here again, however, I'm not fully persuaded. The authors of this study argue that the reason to focus on short-impact aid is because the literature focuses on country growth rates over four-year periods. So I presume it follows that if one were to depart from the literature and look at long-run growth (say growth over decades, which is what we really care about), economic aid (as contrasted with, say, humanitarian aid) cumulated during the period should have a discernible effect on growth (and there would be no need to separate out short-impact aid from long-impact aid). My work with Subramanian suggests that economic aid does not have a robust positive correlation with long-run growth.

Despite my own convictions about what the past tells us, I will acknowledge that the debate about aid effectiveness is one where little